

other foreigner, and you must pay a premium over local prices. Premiums have been as high as 60 percent. We've owned a few stocks we felt were cheap even with the premium, but this is another instance where the individual investor would be in over his head.

*Other Asian countries* have become boom centers, of course, and *Latin America* revived magnificently once governments relaxed their strangleholds on economies. *Eastern Europe* has some promising equity markets, though liquidity is shallow. There's little foreign investment in *Africa* outside South Africa, except by the World Bank and International Monetary Fund, but exchanges are being built.

And then there is *Russia*. It is still at the venture capital stage: the money being invested is from corporate and private venture funds. There's no equity market to speak of. The legal structures don't exist yet. Tax rates and regulations change frequently and unpredictably. Conflicts between Moscow and the provincial and local governments are daily fare.

We're all familiar with Russia's ugly problems—inflation and unemployment, separatist struggles, corruption, organized crime and simple theft, the rise of neo-Communist and neofascist parties—and the predictions of chaos, civil war, and the ascension of a new strongman. However, we don't see headlines about food riots; people are at least being fed. Thousands of Russians are getting rich (by various means), and a middle class will emerge. I was impressed by the analysis in Daniel Yergin and Thane Gustafson's 1993 book, *Russia 2010 and What It Means for the World*. The authors are smart enough not to make a single forecast. They develop various possible political scenarios: democracy may triumph or authoritarian rule may return. But by 2010 the economy, they believe, will prove a success story, which means it may yet be a place where ordinary investors can make some money.